

Chapter 10

Some Practical Advice

“The greatest obstacle to being heroic is the doubt whether one may not be going to prove one's self a fool; the truest heroism is to resist the doubt; and the profoundest wisdom, to know when it ought to be resisted, and when it be obeyed.”

—Nathaniel Hawthorne

Nathaniel Hawthorne's lesson is clear: Know when we can—and when we cannot—trust ourselves. Our book's central lesson is that investors should explore a do-it-yourself (DIY) solution, or at least move in that direction. Are we, in fact, prepared to enter the world of DIY? [Chapters 1](#) through [5](#) gave us the knowledge that “expert” opinion is suspect. These chapters also gave us the confidence that experts can be beat by disciplined investors adhering to a simple model. [Chapters 6](#) through [8](#) described asset allocation, risk-management, and security selection. Finally, [Chapter 9](#) integrates these lessons into a complete DIY solution that can beat the experts. We think we are ready—let's do it!

But wait.

While there are many reasons to pursue a DIY investment program, we have also learned that the biggest challenge to any successful investment program is controlling our emotions. As Munger taught us, it is always best to invert the question to broaden our understanding. Applying this principle, we should not be asking: “Should we be DIY investors?” The real question is: “Why won't we become DIY investors?”

So before we conclude, we want to outline three reasons you may not become your own advisor, and list three reasons you may fail to implement a DIY approach. Our intent is not to discourage you, but simply to warn you of some behavioral flaws that might inhibit you from taking action!